

FREE GUIDE · @BUILDWITHABINASH

Which ITR Form Should You File?

The 60-second form finder

Answer 3 quick questions · FY 2025-26 · Assessment Year 2026-27

No guessing. Pick the right form. File clean.

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Let's learn the smart way.

The 60-Second Form Finder

Start at the top and follow your answers. The form you file depends on where your income comes from — not on what your friend filed.

START HERE ▼ Answer the question below

Q1 · Do you have any business or freelance / side-hustle income?

Income you earn as a business or profession — consulting, freelancing, trading as a business, a shop, YouTube/creator income treated as business, etc. (Salary + interest + a little capital gain is *not* business income.)

▼
NO — only salary / investments

Q2 · Does ANY of these apply?

- Capital gains above ₹1.25L LTCG (shares/MF) or any property/other gains
- Foreign income or foreign assets
- More than one house property
- Unlisted shares, or you're a company director
- Total income above ₹50 lakh

▼
NO

ITR-1 *Sahaj*

Salary + one house + interest, income up to ₹50L. The simplest form.

▼
YES

ITR-2

Capital gains, foreign income, 2+ houses, or income over ₹50L — but no business income.

▼
YES — I have business / freelance income

Q3 · On the presumptive scheme?

Are you opting for presumptive taxation — Section 44AD (small business) or 44ADA (professionals) — with total income up to ₹50 lakh?

▼
YES

ITR-4 *Sugam*

Presumptive income under 44AD / 44ADA / 44AE, within the limits.

▼
NO

ITR-3

Regular business or professional income (books/full computation).

Quick Reference & Watch-Outs

The same logic, in a table you can scan in five seconds.

Form	Who files it
ITR-1 <i>Sahaj</i>	Resident individual with salary/pension, one house property, and other sources (interest), total income up to ₹50 lakh. Small LTCG under Section 112A up to ₹1.25L is now allowed here too.
ITR-2	Individuals/HUF with capital gains, foreign income or assets, more than one house, unlisted shares, director in a company, or income above ₹50 lakh — but no business/professional income.
ITR-3	Individuals/HUF with income from a business or profession (freelancing/side hustle taxed as business), including those keeping regular books.
ITR-4 <i>Sugam</i>	Residents opting for presumptive taxation under 44AD / 44ADA / 44AE, with total income up to ₹50 lakh.

WATCH OUT

Filing the **wrong form** gets your return marked **defective under Section 139(9)** — it's treated as not filed until you correct it, which delays your refund and can invite a notice. When in doubt, go one level up (e.g. ITR-2 instead of ITR-1).

GOOD TO KNOW

Not sure between two forms? The income-tax portal suggests a form when you start filing, and most tax-filing apps auto-detect it from your income. Use this sheet to sanity-check what they pick.

Fine print on ITR-1: Even with income under ₹50L, you **cannot** use ITR-1 if you have brought-forward or carry-forward losses, agricultural income above ₹5,000, TDS deducted under Section 194N, or deferred ESOP tax from an eligible start-up — use ITR-2 instead. The small LTCG relaxation (up to ₹1.25L in ITR-1) applies only if you have **no** capital loss to carry forward or set off.

General guidance for salaried and first-time filers for AY 2026-27, not individual tax advice. Form applicability can change with your specific situation — check the latest rules on [incometax.gov.in](https://www.incometax.gov.in) or ask a professional if unsure.

Bonus: Smart LTCG Tax Moves

Sold shares or equity mutual funds? Three simple, legal moves that can cut your tax every single year.

₹1.25L LTCG tax-free each year (Sec 112A)	12.5% LTCG tax above that (held > 1 yr)	20% STCG on equity (held ≤ 1 yr)
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1

Harvest your ₹1.25 lakh tax-free gain — every year

Long-term gains on listed shares and equity funds are **tax-free up to ₹1.25L per financial year**. If you're sitting on profits, sell enough to book up to that limit before 31 March, then buy back if you still want to hold. You pay zero tax on that gain and **reset your purchase price higher** — which shrinks your taxable gain later. Unused, this exemption is lost; it doesn't carry over.

2

Book your losses before 31 March to offset gains

Have an under-performer? Selling it "harvests" the loss, which you can set off against your gains and lower your tax bill. Remember the rule: a **short-term loss** offsets both short-term and long-term gains, but a **long-term loss** can offset **only long-term gains**. Book losses *before* the financial year ends — not after.

3

File on time — or lose the loss

Any loss you can't use this year **carries forward for 8 years** to offset future gains — but only if you **file your ITR by the due date (31 July)**. File even one day late and the carry-forward is gone for good, even if your income is below the taxable limit. This is exactly why filing on time matters.

KEEP IN MIND

Book gains and losses for genuine portfolio reasons, keep your contract notes and broker statements, and report every trade — it all shows up in your AIS. These moves reduce tax legally; they aren't a way to hide anything.

Illustrative general guidance for FY 2025-26 / AY 2026-27, not individual tax or investment advice. Rates and limits can change — confirm current rules on [incometax.gov.in](https://www.incometax.gov.in) or with a professional before acting.